# EXECUTIVE SUMMARY

## A. Introduction:

The Municipality of Solana was founded on August 18, 1952 and named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first class municipality covering an area of 277.22 square kilometers with 38 barangays and with about 86,051 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga and on the northwest by the Municipalities of Piat and Tuao.

Financial, compliance, and performance audit were conducted on the accounts and operations of the LGU Solana, Cagayan for the calendar year 2018. The audit objectives were to ascertain the propriety of the disbursements, the reliability of the financial reports, the adequacy of accounting records, compliance with laws, rules, and regulations as well as adherence to prescribed policies and procedures. Likewise, the audit was conducted to determine whether plans, programs, activities and projects for the year were attained in an efficient, economic and effective manner.

## B. Highlights of Financial Information:

The financial condition and results of operations of LGU-Solana, Cagayan for CY 2018 with comparative figures for CY 2017 are as follows:

| | **2018** | **2017** | **Increase/(Decrease)** |
|---|---|---|---|
| Assets | 735,857,419.85 | 546,555,883.49 | 189,301,536.36 |
| Liabilities | 304,400,909.43 | 209,112,714.58 | 95,288,194.85 |
| Government Equity | 431,456,510.42 | 337,443,168.91 | 94,013,341.51 |
| Income | 272,396,598.80 | 203,867,479.85 | 68,529,118.95 |
| Expense | 181,085,168.11 | 160,382,786.16 | 20,702,381.95 |
| Appropriation | 242,412,434.02 | 291,217,657.34 | (48,805,223.32) |
| Obligation | 202,410,575.72 | 226,548,502.54 | (24,137,926.82) |

The funds received by the LGU and transferred to other agencies and non-government and people's organizations for CY 2018 with comparative figures for CY 2017 are shown below:

| | **2018** | **2017** | **Increase/(Decrease)** |
|---|---|---|---|
| Funds Received from Other Agencies: | | | |
| NGAs | P91,169,467.81 | P39,286,448.34 | P51,883,019.47 |
| LGUs | 1,221,044.40 | 1,000,000.00 | 221,044.40 |
| NGOs/POs | 0.00 | 0.00 | 0.00 |
| Others | 0.00 | 0.00 | 0.00 |
| **Total** | **P92,390,512.21** | **P40,286,448.34** | **P52,104,063.87** |

| | 2018 | 2017 | Increase/(Decrease) |
|---|---|---|---|
| Funds Transferred to Other Agencies: | | | |
| NGAs | 0.00 | 0.00 | 0.00 |
| LGUs | 3,440,000.00 | 1,359,658.70 | 2,080,341.30 |
| NGOs/POs | 0.00 | 0.00 | 0.00 |
| Others | 0.00 | 0.00 | 0.00 |
| **Total** | **P3,440,000.00** | **1,359,658.70** | **P2,080,341.30** |

**C. Independent Auditor's Report on the Financial Statements:**

The Auditor rendered an **unqualified opinion** on the fairness of the presentation of the financial statements of the LGU Solana, Cagayan as of December 31, 2018.

**D. Summary of Significant Audit Observations and Recommendations:**

1. **Excess cash advances amounting to P96,000.00 the purpose of which have already been accomplished, were not refunded within the period prescribed by the pertinent provisions of COA Circular No. 97-002. Also, the non-refunding of such cash advances within the required period implies weak internal control and exposes the fund to risk of misappropriation. Further, P78,400.00 of the aforementioned amount were utilized for purposes other than that for which they were granted, contrary to Item 4.1.7 of the same circular.**

   We recommended that the Local Chief Executive strengthen the internal control in the monitoring of cash advances, require the Disbursing Officer to refund immediately any excess cash advances in compliance with Item 5.7 of COA Circular No. 97-002 and require the Municipal Treasurer to utilize the cash advance for the specific purpose for which it was granted in compliance with Item 4.1.7 of same Circular.

2. **The LGU did not intensify the collection of its Accounts Receivable and Loans Receivable, which resulted in low collections and may further result in impairment loss, contrary to Section 2 of Presidential Decree (PD) No. 1445.**

   We recommended that the Local Chief Executive establish a mechanism to intensify the collection of Accounts Receivable and Loans Receivable. We recommended further that Management review the policy in the grant of loan to determine the past due accounts and whether there exist the conditions set forth under paragraph 68 of PPSAS 29 (Impairment and Uncollectibility of Financial Assets).

3. **There is a discrepancy in the Schedule of "Due from LGUs" account as compared to the amount presented in the monthly Trial Balance, which is contrary to sound accounting practice. It also casts doubt as to the accuracy of recording of the expense account.**

We recommended that the general account be reconciled with its supporting schedule in conformity with sound accounting practice. We also recommended that the corresponding expense account be recorded on the date of liquidation or the date to which they relate to in conformity with the accrual basis of accounting.

4. **The Approved Budget for the Contract (ABC) for infrastructure projects to be bid were not prepared and submitted as part of the contract agreements, which may create disagreement between the cost of the project and the approved available fund for the project.**

   We recommended that the Approved Budget for the Contract be prepared and submitted as part of the documents to support the contract agreement in compliance with Section 17.1 of the Revised IRR of RA 9184 and to facilitate review of contract agreements.

5. **The recoupment of the mobilization fee and the retention money were invariably computed from the contract billings for the Construction of New Municipal Building, which is not in accord with Sections 4.3 and 6.1 of Annex E of the Revised IRR of RA 9184, and which is disadvantageous on the part of the LGU.**

   We recommended that Management ensure that advance payments to contractors are repaid by the Contractor by deducting the required fifteen percent (15%) from every periodic progress payments in compliance with Section 4.3 of Annex E of the Revised IRR of RA 9284. Likewise, Management should strictly follow the regulation on the ten percent (10%) retention money embodied in Section 6.1 of the same Annex of the said Revised IRR.

6. **Contractor's Affidavit on Payment of Equipment Rentals/Lease was not required on all contract payments made to the contractor of the Construction of New Municipal Hall Building thus exposing the Municipal Government to legal claims from third parties.**

   We recommended that Management require the contractor to submit the Contractor's Affidavit on Payment of Equipment Rentals/Lease to ensure that the Municipal Government is free from any legal claims of third party/ies that may arise against the contractor.

7. **The final payment for various infrastructure projects of the Municipality was not supported with As-Built Plans as prescribed under Item 9.1.1.4 of COA Circular No. 2012-001, thus the validity and propriety of the transactions could not be ascertained.**

   We recommended that the Municipal Engineer prepare the As-Built Plans for all completed projects and submit the same to the Municipal Accountant as a

requirement in the final payment of the infrastructure projects of the Municipality pursuant to the provisions of COA Circular No. 2012-001.

8. **School buildings and other structures, equipment, furniture and fixtures, with total net book value of P5,408,858.91, are carried in the books of accounts of the Municipality, instead of these being transferred to the Schools Division Office/Department of Education, which is contrary to International Public Sector Accounting Standards 17 - Property, Plant and Equipment.**

## E. Summary of Total Suspensions, Disallowances, and Charges:

| Particulars | Beginning Balance | Issued During the Year | Settlement During the Year | Ending Balance | % of Settlement |
|---|---|---|---|---|---|
| ***Suspensions:*** | | | | | |
| Prior Years | P17,378,943.64 | P 0.00 | P 0.00 | P17,378,943.64 | 0.00% |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| **Total** | **P17,378,943.64** | **P 0.00** | **P 0.00** | **P17,378,943.64** | **0.00%** |
| ***Disallowances:*** | | | | | |
| Prior Years | P888,180.52 | P 0.00 | P35,060.00 | P853,120.52 | 3.95% |
| Current Year | | 0.00 | 0.00 | 0.00 | 0.00% |
| **Total** | **P888,180.52** | **P 0.00** | **P35,060.00** | **P853,120.52** | **3.95%** |
| ***Charges:*** | | | | | |
| Prior Years | P 0.00 | P 0.00 | P 0.00 | P 0.00 | 0.00% |
| Current Year | 0.00 | 0.00 | 0.00 | 0.00 | 0.00% |
| **Total** | **P 0.00** | **P 0.00** | **P 0.00** | **P 0.00** | **0.00%** |

## F. Status of Implementation of Prior Years' Audit Recommendations

Of the 20 prior years' audit recommendations embodied in the 2017 Annual Audit Report, 11 were fully implemented, eight (8) were partially implemented and one (1) was not implemented.